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Case Number: 26STCP01881 Hearing Date: July 30, 2026 Dept: 515

NATURE OF PROCEEDINGS:

Hearing on First Amended Verified Petition for Approval for Transfer of Payment Rights

The First Amended Verified Petition for Approval for Transfer of Payment Rights filed by J.G. Wentworth Originations, LLC is denied without prejudice.

BACKGROUND

J.G. Wentworth Originations, LLC

(Petitioner) petitions for approval of a transfer of structured settlement payment rights by Eric Finn (Transferor) under Insurance Code section 10134 et seq. Transferor became entitled to structured settlement payments in or about 2024 in resolution of a personal injury claim. (FAP, ¶ 3; Finn Decl., ¶ 4.) The payments are funded by an annuity issued by Pacific Life Insurance Company under contract no. 2754664050, and Pacific Life and Annuity Services, Inc. is the structured settlement obligor. (FAP, ¶¶ 5, 6.)

The operative pleading is the First Amended Verified Petition now before the Court. Transferor joined the Petition and executed the proposed order. (Notice of Filing Payee's Signature, Ex. A.) Petitioner submits in support the California Purchase Contract, the disclosure statement, a confirmation of annuity benefits, Transferor's affidavit regarding the underlying settlement agreement, and his statement of professional representation, together with Transferor's declaration. (FAP, Exs. A-E; Finn Decl.) No interested party filed a response.

LEGAL STANDARD

This Petition is governed by Insurance Code sections 10134 through 10139.5. (321 Henderson Receivables Origination LLC v. Sioteco (2009) 173 Cal.App.4th 1059, 1066 (Sioteco).) A transfer of structured settlement payment rights is void unless a court reviews and approves the transfer and finds that the transfer is fair and reasonable and in the best interest of the payee, taking into account the welfare and support of the payee's dependents, and that the transfer complies with the requirements of the article and will not contravene other applicable law. (Ins. Code, § 10137.)

Insurance Code section 10139.5 makes a transfer ineffective unless it is approved in advance in a final court order resting on express written findings as to each of six matters, among them that the transfer is in the payee's best interest; that the payee was advised in writing to seek independent professional advice and either received it or knowingly waived it in writing; and that the transferee complied with the notification requirements of subdivision (f)(2), provided a disclosure form complying with Insurance Code section 10136, and that the transfer agreement complies with Insurance Code sections 10136 and 10138. (Ins. Code, § 10139.5, subd. (a)(1)-(6).) In determining whether to approve the transfer, the Court considers the totality of the circumstances, including the fifteen factors subdivision (b) enumerates. (Ins. Code, § 10139.5, subd. (b).) The Court "may deny or defer ruling on the petition for approval of a transfer of structured settlement payment rights if the court believes that the payee does not fully understand the proposed transaction and that independent legal or financial advice regarding the transaction should be obtained by the payee." (Ins. Code, § 10139.5, subd. (b)(14).)

Compliance with Insurance Code sections 10136, 10137, and 10138 is solely the responsibility of the transferee, which brings the petition and bears the burden of presenting the facts and evidence that permit the Court to make each required finding. (Ins. Code, §§ 10139.5, subds. (a), (f)(1), 10139.3, subd. (b); Sioteco, supra, 173 Cal.App.4th at pp. 1065-1066.)

ANALYSIS

I. Notice,
Disclosure, and Required Documents

A. Service and Notice

Petitioner filed and served the notice of proposed transfer, the Verified Petition, and the accompanying documents on the interested parties, including the annuity issuer and the structured settlement obligor, on May 21, 2026. (Ramos Decl., ¶ 4 and Ex. A.) Petitioner served the First Amended Petition on June 17, 2026, and served notice of the continued hearing date on June 25, 2026. (Proof of Service of First Amended Verified Petition; Notice of Continuance of Hearing, Proof of Service.) The First Amended Petition was served eight days before the hearing then set, but the continuance to July 30, 2026 places each of these service dates more than 20 days before the hearing. (Ins. Code, § 10139.5, subd. (f)(2).) The notice encloses the petition, the proposed transfer agreement, the separate written disclosure statement, a listing of Transferor's dependent and her age, proof of service, and the notifications required by Insurance Code section 10139.5, subdivision (f)(2)(J) and (K). (Notice of Hearing, pp. 1-2; FAP, Exs. A, B; Finn Decl., ¶ 8.)

Because Transferor entered into the structured settlement within five years of the transfer agreement, notice to his attorney of record at the time the settlement was created was required. (Ins. Code, § 10139.5, subd. (f)(2)(L).) Petitioner served that notice by mail on Dordick Law Corporation on May 21, 2026, in the form the statute prescribes. (Notice to the Settlement Attorney of Record, pp. 1-2 and Ex. A.)

B. Documents Required to Accompany the
Notice

The underlying structured settlement agreement was not produced. Transferor declares that he attempted to locate it, has no record of it, and has advised Petitioner that no copy is available. (FAP, Ex. D, ¶ 9.) That showing satisfies Insurance Code section 10139.5, subdivision (f)(2)(H) as to that document. (Ins. Code, § 10139.5, subd. (f)(2)(G), (H).)

However, no such showing was made as to the annuity contract. Insurance Code section 10139.5, subdivision (f)(2)(E)

requires a copy of the annuity contract, and subdivision (f)(2)(H) excuses production only if the transferee satisfies the Court that reasonable efforts to locate and secure a copy have been made, including inquiry with the payee. Petitioner did not invoke that exception. It instead represented that it was supplying the annuity contract and attached a Confirmation of Annuity Benefits issued by Pacific Life. (FAP, § IV, No. 5; FAP, Ex. C.) That letter is not the annuity contract. It recites payment amounts, frequencies, payout options, and payout dates, and nothing more. The annuity contract is part of the structured settlement terms as defined in the article, and its provisions bear on whether the transfer contravenes an applicable statute or the order of any court or other governmental authority. (Ins. Code, §§ 10134, subd. (m), 10139.5, subd. (a)(4).) Nothing in the Petition addresses why the contract itself was not produced.

The qualified assignment agreement is likewise missing. The Petition identifies the structured settlement obligor as Pacific Life and Annuity Services, Inc., an entity distinct from the annuity issuer, which indicates that the payment obligation was assigned. (FAP, ¶¶ 5, 6.) Petitioner produced no qualified assignment agreement and did not state whether one exists, offering only to supply the agreement if applicable. (FAP, § IV, No. 5; Ins. Code, § 10139.5, subd. (f)(2)(F).) Because two of the three documents Insurance Code section 10139.5, subdivision (f)(2) requires were neither produced nor excused, Petitioner has not complied with the notification requirements of that subdivision, and the Court cannot make the finding required by subdivision (a)(3). A transferee's failure to attach the documents the article requires, including complete copies of the annuity contract, supports denial of a petition without prejudice. (Sioteco, supra, 173 Cal.App.4th at p. 1080.)

C. Disclosure Statement and Advisory Requirements

The disclosure statement was provided to Transferor on May 15, 2026, more than ten days before he executed the purchase contract on June 2, 2026. (FAP, Ex. B, p. 1; FAP, Ex. A, signature page.) It states the aggregate amount of the payments to be transferred, the purchase price, the discounted present value and the federal rate used to calculate it, the discount rate applied to the transaction, the effective equivalent interest rate, an itemization of expenses totaling \$0.00, and the quotient obtained by dividing the net payment amount by the discounted present value, together with

the court approval, cancellation, and independent advice notices the statute prescribes. (FAP, Ex. B, pp. 1-3; Ins. Code, § 10136, subd. (b).) The Purchase Contract sets out those same terms, as required by Insurance Code section 10136, subdivision (c), for the transfer agreement. (FAP, Ex. A, § 10; Ins. Code, § 10136, subd. (c).) Petitioner deducted no expenses from the gross purchase price, and Petitioner bore the court costs and filing fees. (FAP, Ex. B, p. 1; FAP, § VIII; Ins. Code, § 10139.5, subd. (g).) The transfer agreement designates California law, and the Court has identified no provision within it that Insurance Code section 10138 prohibits. (FAP, Ex. A, § 9.G; Ins. Code, § 10138, subd. (a).) Petitioner also advised Transferor in writing of his right to seek independent counsel and financial advice in connection with this Petition, and of Petitioner's obligation to pay the fees of counsel, an accountant, or an actuary in an aggregate amount not exceeding \$1,500.00. (FAP, § V; FAP, Ex. B, p. 2; Ins. Code, § 10139.5, subd. (h).)

The disclosure and advisory requirements of Insurance Code sections 10136 and 10139.5, subdivision (h), are satisfied. The documentation requirements of Insurance Code section 10139.5, subdivision (f)(2), are not, and the Petition is denied on that ground without prejudice.

II. Best Interest of the Transferor

Petitioner has not carried its burden of showing that the proposed transfer is fair and reasonable and in the best interest of Transferor, taking into account the welfare and support of his dependent.

A. The Payments Transferred and Retained

The annuity provides monthly payments of \$7,220.67 for 23 years, beginning February 15, 2024; annual payments of \$7,500.00 each May 1, beginning in 2025; annual payments of \$7,500.00 each November 1, beginning in 2025; and a guaranteed lump sum of \$250,000.00 due February 17, 2032. (FAP, Ex. C.) Under the California Purchase Contract dated June 2, 2026, Transferor agreed to transfer 60 monthly payments of \$4,220.67 from January 15, 2027 through December 15, 2031; 181 monthly payments of \$7,220.67 from January 15, 2032 through January 15, 2047; 6 annual payments of \$2,500.00 from November 1, 2026 through November 1, 2031; 5 annual payments of \$2,500.00 from May 1, 2027 through May 1, 2031; 16 annual payments of \$7,500.00

from May 1, 2032 through May 1, 2047; 16 annual payments of \$7,500.00 from November 1, 2032 through November 1, 2047; and \$150,000.00 of the February 17, 2032 lump sum. (FAP, ¶ 4; FAP, Ex. A, § 2.B.) The total amount transferred is \$1,977,681.47, against a purchase price of \$800,000.00. (FAP, Ex. B.)

From the January 15, 2032 monthly payment forward, Transferor transfers the entire remaining annuity payment stream, retaining only \$100,000.00 of the February 17, 2032 lump sum. (FAP, ¶ 4; FAP, Ex. A, § 2.B.) Before that date, he retains \$3,000.00 of each monthly payment through December 15, 2031 and \$5,000.00 of each annual payment through November 1, 2031. (FAP, ¶ 4; FAP, Ex. A, § 2.B.) The transferred payments exhaust the annuity's 23-year certain period, which runs through January 15, 2047, for the monthly stream and through 2047 for both annual streams. Transferor receives no further payments after February 17, 2032. (FAP, Ex. C.) He will then be 64 or 65, and the annuity will pay him nothing for the nearly sixteen years remaining on it.

B. Transferor's Financial and Economic Situation

That result is difficult to square with the record on Transferor's financial and economic situation. He is 59 and retired, and the annuity is his income. (Finn Decl., ¶ 8.) The only other source he identifies is \$1,086.00 per month in survivor benefits paid on account of a child who is 17 and about to begin college, a benefit the record does not suggest will continue once she reaches majority. (Finn Decl., ¶ 8.) The Petition identifies no retirement income, no pension, and no employment, and the only assets the record discloses are a residence encumbered by a home equity line of credit and two financed vehicles. (Finn Decl., ¶ 11 and Ex. A.) On this record, Transferor lacks other means of income or support sufficient to meet his future obligations. (Ins. Code, § 10139.5, subd. (b)(3), (8).)

Petitioner's answers to the statutory factors state that the transferred payments were not intended to provide for necessary living expenses and that Transferor does not need them for that purpose. (FAP, § VI, Nos. 4, 6.) The Petition further states that Transferor is retired and receives \$7,220.67 per month from the annuity, and his declaration likewise states the same. (FAP, § VI, No. 1; Finn Decl., ¶ 8.) Whatever the payments were intended to do in 2024, the record establishes that they are what Transferor now lives on, and the representation to the contrary is unsupported.

(Ins. Code, § 10139.5, subd. (b)(6).) The related representation that the payments were not intended for future medical care sits alongside Transferor's statement that he pays all of his medical expenses out of pocket and wishes to obtain insurance, which bears directly on whether he lacks resources sufficient to cover future medical expenses. (FAP, § VI, Nos. 3, 5; Finn Decl., ¶ 11; Ins. Code, § 10139.5, subd. (b)(7).)

C. The Financial Terms and the Stated Uses of Proceeds

The financial terms present a further difficulty. The transferred payments have a discounted present value of \$1,184,057.68, calculated at the applicable federal rate of 5.00 percent; the transaction is priced at an effective equivalent interest rate of 9.58 percent; no expenses are deducted; and the net payment is 67.56 percent of the discounted present value. (FAP, Ex. B, pp. 1-2.) Those terms, standing alone, would not be grounds for withholding approval. However, Insurance Code section 10139.5, subdivision (b)(9) also directs the Court to weigh the size of the transaction and the financial alternatives available to Transferor to achieve his stated objectives.

Transferor states that he will use the proceeds to retire a home equity line of credit, two vehicle loans, credit card debt, and other debt totaling \$275,128.76; to pay approximately \$9,000.00 in property taxes; to fund four years of college for his daughter; and to fund investments and life insurance. (Finn Decl., ¶ 11 and Ex. A.) The largest stated use is retirement of the home equity line of credit, which carries a balance of \$199,999.94, a quarter of the purchase price. The account statement submitted by Transferor shows a payment of \$819.80 against that balance, which implies an annual rate of roughly 4.9 percent (lower if any portion of the payment is applied to principal). (Finn Decl., Ex. A.) His declaration puts the payment at \$900.00 per month, which would imply a roughly 5.4 percent interest rate. (Finn Decl., ¶ 11.) On either figure, retiring that debt with funds priced at 9.58 percent leaves Transferor worse off, and Petitioner does not explain it. The vehicle loans go both ways. The statement for one loan shows a payment of \$548.45, of which \$369.05 was applied to interest, against a principal balance of \$32,740.91, implying roughly 13.5 percent interest, and retiring that obligation on these terms is rational. (Finn Decl., Ex. A.) The statement for the second shows a finance charge of \$82.92 against a remaining balance of \$18,844.15, implying roughly a 5.3 percent interest rate, and

retiring that obligation is not. (Finn Decl., Ex. A.) The credit card balances, \$10,080.71 on one account and \$5,000.00 drawn against an overdraft protection line, and the \$8,275.06 in miscellaneous debt, carry no stated rate anywhere in the record. (Finn Decl., Ex. A.) For the sake of argument, and without deciding the point, the Court assumes each bears interest at 25 percent, well above the highest rate the record establishes for any of Transferor's obligations. On that assumption, retiring those balances with funds priced at 9.58 percent is rational. They total \$23,355.77. Added to the vehicle loan, the debt this transaction retires on economically rational terms comes to roughly \$56,000. The remaining debt Transferor proposes to retire, roughly \$219,000 across the home equity line and the second vehicle loan, carries rates well below the 9.58 percent he would pay to retire it.

After the stated debt retirement, the property tax obligation, and four years of college costs for his daughter at \$83,950.00 annually, roughly \$180,000.00 of the purchase price remains, directed to unspecified investments and life insurance. (Finn Decl., ¶ 11 and Ex. A.) For that allocation to leave Transferor better off, the return would have to exceed the 9.58 percent he is paying to obtain the funds, and the record contains no evidence of the expected return. Moreover, the payments Transferor is selling are tax-free, and any returns on the invested proceeds would not be. (Ins. Code, § 10134, subd. (j); FAP, Ex. C.) A structured settlement thus "effectively shelters from taxation the returns from the investment of the lump-sum payment." (Sioteco, *supra*, 173 Cal.App.4th at p. 1064, quoting *Western United Life Assur. Co. v. Hayden* (3d Cir. 1995) 64 F.3d 833, 839-841.) Transferor would be exchanging a tax-free income stream for a taxable one.

D. Factors Weighing in Favor of the Transfer

The Court does not doubt that Transferor faces real financial pressure. The same statements show the line of credit drawn to \$0.06 of available credit after a series of small advances, a credit card over its limit, and an overdraft protection line fully drawn. (Finn Decl., Ex. A.) That is a hardship situation within the meaning of Insurance Code section 10139.5, subdivision (b)(13), and it weighs in favor of the Petition. So does Transferor's stated preference to complete the transaction. (Finn Decl., ¶¶ 3, 4; Ins. Code, § 10139.5, subd. (b)(1).) Additionally, the absence of any prior transfer activity weighs in favor of the transfer. (FAP, § VI, Nos. 7, 8, 9; Finn Decl., ¶¶ 9, 10; Ins. Code, § 10139.5, subd. (b)(10), (11),

(12).) However, these factors are outweighed by the size of the transfer, the absence of other sources of income and the stated plan to retire lower-interest debt.

E. Inconsistencies in the Petition

The record is also inconsistent on facts the statute requires the Petition to supply. The original Petition described Transferor as divorced and unemployed. (Petition, § III.) The First Amended Petition describes him as single and retired. (FAP, §§ III, VI, No. 1.) His declaration states that he is divorced and not married, and attributes his child's survivor benefits to a late wife. (Finn Decl., ¶¶ 1, 8.) Petitioner explains neither amendment. Insurance Code section 10139.5 requires the petition to state the payee's marital status. It permits that information to be supplied at the hearing, so the Court need not resolve the question to decide this Petition. (Ins. Code, § 10139.5, subds. (c)(2), (d).) The shifting descriptions nonetheless compound the difficulty of finding, on this showing, that the transfer accounts for the welfare and support of Transferor's dependent.

Weighing the totality of the circumstances, Petitioner has not shown that a transaction leaving a retired 59-year-old with a minor child holding no annuity income for the nearly sixteen years beginning in 2032 is fair and reasonable and in his best interest. (Ins. Code, §§ 10137, subd. (a), 10139.5, subds. (a)(1), (b).)

Accordingly, the First Amended Verified Petition for Approval for Transfer of Payment Rights is denied without prejudice.

CONCLUSION

For the reasons stated above, the First Amended Verified Petition for Approval for Transfer of Payment Rights is denied without prejudice.